

Meta Platforms, Inc.

META NASDAQ

Buy

\$582.30 ▼ 1.35%

12M Price Target
\$675.00

52-Week Range
\$520.26 – \$796.25

Market Cap
\$1.48T

META: AI Capex Story Intact, But Valuation Concerns Emerge

WHAT HAPPENED

- Big Tech ripped yesterday on blowout earnings from Microsoft, Amazon, and Meta — the AI hyperscaler trade is back on. Meta jumped to \$590 Monday but is giving back 1.35% today, which is normal digestion after a big move. Volume today is tiny (4.7M vs the usual 25M+), so this dip is more "nobody's trading in August" than real selling pressure.
- Aswath Damodaran (the NYU valuation guy Wall Street actually listens to) flagged Meta, Alphabet, and Microsoft as potentially overvalued — that's the kind of headline that caps near-term upside even when fundamentals are great.

WHY IT MATTERS

The setup here is classic "great company, fair price" — Meta just proved the AI capex is generating real ad revenue (better targeting = higher ad prices), so the bear case that they're lighting money on fire is weakening. The fact that options flow is bullish (put/call at 0.52, meaning traders are buying 2x more upside bets than downside protection) tells me smart money thinks the pullback is temporary. But here's what to watch: the stock is at only 22% of its 52-week range, meaning it's closer to the low (\$520) than the high (\$796) — that's a stock that took a beating earlier this year and is climbing back, not one at nosebleed levels. The COO selling ~\$640K in late July is nothing — that's routine executive comp diversification, not a red flag.

POLICY & POLITICAL WATCH

The Trump administration's AI Action Plan (rolled out mid-2025) is explicitly pro-domestic-AI-buildout and anti-EU-style regulation — that's a direct tailwind for Meta's \$60B+ capex plans and their open-source Llama strategy. The real overhang is the FTC antitrust case trying to force divestiture of Instagram and WhatsApp; the trial concluded and we're awaiting a ruling — a loss would be catastrophic (Instagram is ~50% of ad revenue), a win removes a huge cloud. Also watch: any renewed KOSA (Kids Online Safety Act) push in Congress this fall — bipartisan support means it could actually pass this session, and Meta bears the brunt of compliance costs.

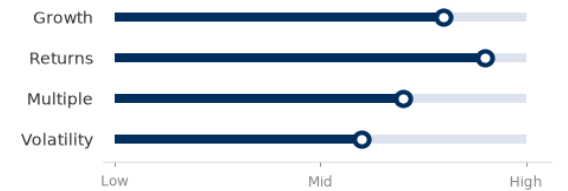
IS IT EXPENSIVE?

At ~21x forward earnings — meaning you're paying \$21 for every \$1 of profit Meta is expected to make next year — this is actually cheaper than the S&P 500 average (~22x) despite growing way faster. That's the bull case in one number: you're getting hyperscaler growth at market multiple. Damodaran's concern is legit though — if AI capex (\$60B+ this year) doesn't translate to revenue growth by 2027, the multiple compresses fast.

Key Data

Price (USD)	\$582.30
12M Price Target	\$675.00
Upside / (Downside)	+15.9%
Market Cap	\$1.48T
FY2026E Revenue	\$195M
FY2027E Revenue	\$225M
FY2026E EPS	\$27.50
FY2027E EPS	\$32.00
Fwd P/E	21.2x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$640.00	\$600.00	\$545.00
6 Months	\$720.00	\$650.00	\$520.00
1 Year	\$820.00	\$675.00	\$480.00
2 Years	\$950.00	\$750.00	\$450.00
5 Years	\$1300.00	\$950.00	\$400.00
10 Years	\$2000.00	\$1400.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+3.61% today, +7.82% this week) is on fire post-earnings — Microsoft/Amazon/Meta all confirmed AI spending is real and generating returns. The Trump admin's light-touch AI regulation is a persistent tailwind.

COOLING OFF: Consumer Discretionary (-0.35%) and Comm Services (-0.23%) are lagging — interesting that Meta's own sector (Comm Svcs) is down while Meta went up big yesterday, meaning it's outperforming its sector peers.

ROTATION WATCH: Money is flowing hard into mega-cap AI winners at the expense of smaller-cap tech and traditional media — this is a "flight to quality within tech" trade, and Meta is one of the destinations.

RELATED PLAY: If Meta's AI capex is real, the picks-and-shovels plays win too — NVDA obviously, but also data center power companies (VST, CEG) since AI training is enormously power-hungry.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Azure AI revenue crushed estimates — validating the enterprise AI spending thesis
- AMZN (Amazon): AWS reaccelerated on AI workloads, plus retail margins expanding

META CONTEXT: Meta is running with the pack but not leading it — MSFT and AMZN got bigger post-earnings pops because their AI stories are more "enterprise" and less "will this ad-targeting improvement actually monetize?" That gap could close if Meta's next quarter shows even better ad pricing.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — high-quality business at a reasonable price with real AI tailwinds, but the FTC ruling is a wildcard I can't handicap

POSITION SIZE: 4-6% of portfolio — big enough to matter, small enough that an antitrust loss doesn't wreck your year

ENTRY POINTS: Add on pullbacks to \$560-575; if we get a broader tech selloff and this hits \$540, back up the truck

TIME HORIZON: 12-24 months — the catalyst is proving AI capex converts to revenue growth, which plays out over the next 4-6 earnings reports

WHEN TO BAIL: Ad revenue growth drops below 10% YoY, FTC forces Instagram divestiture, or Zuckerberg announces another metaverse-scale pivot

HEDGING: Buy some out-of-the-money puts before the FTC ruling — cheap insurance against the one thing that could actually break the story